Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16
HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard on Wednesdays at 9:00 a.m.

Date: September 13, 2023

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Carson v. Uber Technologies, Inc.	**TENTATIVE RULING:** **Petition to Compel Arbitration.** Defendant Uber Technologies, Inc. (Uber) moves to compel arbitration. For the following reasons, the petition is GRANTED. Defendant Uber Technologies, Inc. provides evidence that Plaintiff registered for an Uber Rider account on April 11, 2015. (Gaddis Dec., ¶ 7 and Ex. A.) The Terms of Use in effect at that time were from April 8, 2015, and contained an arbitration agreement. (Id. at ¶ 9 and Ex. B.) Uber notified Plaintiff on November 16, 2016, that the terms were updated, and the updated terms also contained an arbitration provision. (Id., ¶¶ 8-10, Exs. C, D, and E.) Plaintiff was also presented with an in-app blocking pop-up screen on multiple occasions from 2021 through 2023 notifying Plaintiff that the terms were updated and providing links to the terms of use, which contained arbitration provisions. (Id., ¶¶ 11-13, Ex. G.) The pop-up screen expressly stated that by checking the box, Plaintiff reviewed and agreed to the terms of use. Plaintiff expressly consented to the updated terms in 2021-2023. (Id. at ¶ 14, Ex. A.) Each of the updated terms contained an arbitration provision. The original arbitration agreement stated in relevant part:

		You agree that any dispute, claim or controversy arising out of or relating to these Terms or the breach, termination, enforcement, interpretation or validity thereof or the use of the Services (collectively, "Disputes") will be settled by binding arbitration between you and Uber, except that each party retains the right to bring an individual action in small claims court and the right to seek injunctive or other equitable relief in a court of competent jurisdiction to prevent the actual or threatened infringement, misappropriation or violation of a party's copyrights, trademarks, trade secrets, patents or other intellectual property rights. You acknowledge and agree that you and Uber are each waiving the right to a trial by jury or to participate as a plaintiff or class in any purported class action or representative proceeding. … The arbitration will be administered by the American Arbitration Association ("AAA") in accordance with the Commercial Arbitration Rules and the Supplementary Procedures for Consumer Related Disputes (the "AAA Rules") then in effect, except as modified by this "Dispute Resolution" section…. The Federal Arbitration Act will govern the interpretation and enforcement of this Section. (Gaddis Dec., Ex. B.) Each of the successive terms contained a substantially similar arbitration agreement. (Gaddis Dec., Ex. E and G.) The Federal Arbitration Act ("FAA"), which includes both procedural and substantive provisions, governs the dispute at issue. Plaintiff contends that the FAA does not apply because this case does not involve interstate commerce. But the terms with which Plaintiff agreed expressly state that the FAA apply. The FAA applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2), but because arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement. (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.) The terms of use at issue in this case expressly state that the FAA shall apply. The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The Supreme Court has described this provision as reflecting both a "liberal federal policy favoring arbitration," and the

“fundamental principle that arbitration is a matter of contract.” (*AT & T Mobility LLC v.* Concepcion (2011) 563 U.S. 333.) The FAA permits agreements to arbitrate to be invalidated by “generally applicable contract defenses, such as fraud, duress, or unconscionability.” (*Id*.) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.)

On a motion to compel arbitration, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].) “[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.)

Plaintiff contends the arbitration agreement is unconscionable. If the party opposing the petition to compel arbitration raises a defense to enforcement (CCP § 1281.2), that party bears the burden of producing *evidence* of, and proving by a preponderance of the evidence, any fact necessary to the defense. (*See Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) An agreement must be both procedurally and substantively unconscionable to permit the court to refuse to enforce the agreement or a given clause as unconscionable. (*See, Stirlen v. Supercuts, Inc.* (1997) 51 Cal.App.4th 1519, 1533.)

Plaintiff contends the Arbitration Agreement is procedurally unconscionable because it is a clickwrap agreement and a contract of adhesion.

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties’ circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc*. (1999) 70 Cal.App.4th 1322, 1329.) Absent no other indication of oppression or surprise, the degree of procedural unconscionability of an adhesion agreement—including nonnegotiated employment contracts—is low. (*Ajamian v. CantorCO2e, LP* (2012) 203 Cal.App.4th 771 796.)

Recently, in *Sellers*, *supra*, 73 Cal.App.5th 444, the Court of Appeal thoroughly discussed the legal landscape regarding the various methods by which contracts are commonly formed online. " 'A "clickwrap" agreement is one in which an internet user accepts a website's terms of use by clicking an "I agree" or "I accept" button, with a link to the agreement readily available.' " (*Id*. at 463.) By clicking on "I agree" in a clickwrap agreement, the user is confirming his or her assent to the agreement's terms. As a result, clickwrap agreements are generally considered enforceable. (*Id*. at 470.)

Here, the Agreement is a contract that was offered on a take-it-or-leave-it basis, which, in itself, "is sufficient to establish some degree of procedural unconscionability." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915, 190 Cal.Rptr.3d 812.) Thus, Plaintiff has shown a small level of procedural unconscionability.

Substantive unconscionability examines the fairness of a contract's terms to ensure that a contract of adhesion does not impose terms that are overly harsh, unduly oppressive, or unfairly one-sided. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126–127.) The court focuses on terms that unreasonably favor the more powerful party, impair the integrity of the bargaining process, contravene public interest or policy, or attempt to impermissibly alter fundamental legal duties. This includes unreasonable or harsh terms or ones that undermine the nondrafting party's reasonable expectations. (*Id*. at p. 130, 251 Cal.Rptr.3d 714, 447 P.3d 680.) Where there is substantial procedural unconscionability, "even a relatively low degree of substantive unconscionability may suffice to render the agreement unenforceable." (*Ibid*.) This is particularly true if an employer used "deceptive or coercive" tactics. (*Id*. at pp. 125–126, 251 Cal.Rptr.3d 714, 447 P.3d 680.)

Plaintiff does not provide any evidence or argument that the agreement is substantively unconscionable. Thus, Plaintiff does not provide a sufficient basis for the Court to find that the Arbitration Agreement is unconscionable.

Plaintiff relies extensively on Code Civ. Proc. § 1281.2(c) to urge the Court to deny the petition in light of the presence of an additional defendant, John Doe. That Section provides that the Court shall order arbitration unless it determines that:

		(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. Section 1281.2(c) does not apply where the arbitration agreement incorporates the FAA's procedural provisions. (See *Acquire II, Ltd. v. Colton Real Estate Group* (4th Dist. Div. 3 2013) 213 Cal.App.4th 959, 968 [FAA did not apply, thus it "did not prevent the trial court from relying on section 1281.2(c) to deny Defendants' motions [to compel arbitration]."]; *Rodriguez v. American Technologies, Inc.* (4th Dist. Div. 3 2006) 136 Cal.App.4th 1110, 1116 [reversing trial court order denying motion to compel arbitration, where parties "expressly agreed the FAA would govern arbitration of disputes under the contract," the trial court "had no discretion to deny the petition to compel arbitration" under section 1281.2(c)].) This is because the "Federal Arbitration Act (FAA) (9 U.S.C. § 1 et seq.) does not include a provision comparable to section 1281.2(c) and therefore requires courts to enforce written arbitration agreements even if there is pending litigation involving a third party that may result in conflicting rulings." (*Acquire II, Ltd., supra*, 213 Cal.App.4th at 968, citing *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 217.) The arbitration provision here expressly states that "It is the intent of the parties that the FAA and AAA Rules shall preempt all state laws to the fullest extent permitted by law." (Gaddis Dec., Ex. E.) Thus, following *Rodriguez*, this court is compelled to find that it lacks discretion to refuse to enforce the arbitration provision under CCP section 1281.2(c). In opposing the motion, Plaintiff cites to *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158 as authority for finding that Uber has not met its initial burden of showing the parties entered into an enforceable agreement to arbitrate. But the declaration of Todd Gaddis consists of admissible evidence and lays an adequate foundation for submitting the business records relevant to the agreement to arbitrate. Gaddis need not be "personally involved in the transaction" or the custodian of records to be able to access Plaintiff's account. Plaintiff's evidentiary objections are overruled.

		Plaintiff also relies on *Cullinane v. Uber Technologies, Inc*. (1st Cir. 2018) 893 F.3d 53, 56-64 in arguing that the arbitration agreements are invalid because Plaintiff was not provided with "reasonable notice" of them. *Cullinane*, however, is inapposite and not binding on this Court as it involved the application of Massachusetts contract law. (*Id*. at 61.) Instead, *Meyer v. Uber Techs., Inc*. (2d Cir. 2017) 868 F.3d 66 is more instructive since it involved the application of California law. (*Id*. at 74 ["We agree with the district court's determination that California state law applies, and note that New York and California apply "substantially similar rules for determining whether the parties have mutually assented to a contract term."] In *Meyer*, the Court held that Uber "provided reasonably conspicuous notice of the terms of service, which included arbitration clause" and that the "consumer unambiguously manifested his assent to be bound by terms of service. (*Id*. at 66.) Further, federal district courts in California have rejected the reasoning of *Cullinane* in cases involving Uber. (*In re Uber Technologies, Inc.* (C.D. Cal., Aug. 19, 2019, No. CV183169PSGGJSX) 2019 WL 6317770, at *4; *West v. Uber Technologies* (C.D. Cal., Sept. 5, 2018, No. 18-CV-3001-PSG-GJS) 2018 WL 5848903, at *4.) Accordingly, the petition is granted and this action is stayed pending completion of arbitration. A status conference regarding arbitration is set for February 6, 2024, at 9:00 a.m. in Department N16. Moving party to give notice.
2	Zimmerer v. O'Connell Landscape Maintenance, Inc.	**OFF CALENDAR**
3	Reitz v. General Motors, LLC	**OFF CALENDAR**
4	Jackson v. Coldwell Banker, LLC	**TENTATIVE RULING:** For the reasons set forth below, the Motion to be Relieved as Counsel, filed by Sarah Serpa of Serpalaw, counsel for Plaintiffs Carlos Jackson, Bianca Jackson, and Dominique Jackson is DENIED as moot. On July 12, 2023, Sarah Serpa of Serpalaw, counsel for Plaintiffs Carlos Jackson, Bianca Jackson, and Dominique Jackson filed a motion to be relieved as counsel. In Serpa's declaration, she

		contends that the clients wish to terminate their retention of her as counsel and do not oppose relief. On July 14, 2023, a substitution of attorney relating to Dominique Jackson was filed, who consented to being self-represented. [ROA #100.] On July 14, 2023, a substitution of attorney relating to Carlos Jackson was filed, who consented to being self-represented. [ROA #102.] On July 17, 2023, substitution of attorney relating to Bianca Jackson was filed, who consented to being self-represented. [ROA #108.] Given the substitutions of attorney, the court denies the motion as moot. Court to give notice.
5	Account Management Services, Inc. v. Southland Family and Urgent Care, Inc.	**TENTATIVE RULING:** **<u>Motion to Set Aside Default and Default Judgment.</u>** Defendants Southland Family and Urgent Care, Inc. and Konstantinos U. Melahoures, M.D. move to set aside the default and default judgments entered against them. For the following reasons, the motion is DENIED. Code Civ. Proc. § 415.20(b) covers substitute service on defendants: > “If a copy of the summons and complaint cannot with reasonable diligence be personally delivered to the person to be served, as specified in Section … 416.90, a summons may be served by leaving a copy of the summons and complaint at the person’s dwelling house, usual place of abode, usual place of business, or usual mailing address other than a United States Postal Service post office box, in the presence of a competent member of the household or a person apparently in charge of his or her office, place of business, or usual mailing address other than a United States Postal Service post office box, at least 18 years of age, who shall be informed of the contents thereof, and by thereafter mailing a copy of the summons and of the complaint by first-class mail…. to the person to be served

		at the place where a copy of the summons and complaint were left…" Substitute service on an entity does not require a showing that the summons cannot with reasonable diligence be personally delivered to the entity defendant. (See, Code Civ. Proc., § 415.20(a).) Here, the proofs of service filed on September 30, 2022, state that service was effectuated by means of substituted service. As to Defendant Melahoures, the proof of service includes a declaration of diligence executed by Mario Gomez. (ROA 11.) The declaration states that Gomez attempted to serve Melahoures on two separate occasions at 27660 Santa Margarita Pkwy, Mission Viejo, CA 92691. (Id.) Defendant Melahoures concedes his business is located at that address. (Melahoures Dec., ¶ 6.) The receptionist evidently told Gomez that Melahoures was "not in" on both days in which Gomez attempted service. (ROA 11.) Defendant contends that Plaintiff did not show reasonable diligence because Plaintiff did not attempt service at Defendant's residence. As Defendant recognizes, however, two or three attempts to personally serve defendant at a "proper place" (including a usual place of business, which is where Defendants were served) ordinarily qualifies as "reasonable diligence." (*Rodriguez v. Cho* (2015) 236 Cal.App.4th 742, 750.) Plaintiff has shown two attempts at service at Defendant's business address. Defendant contends that the receptionist at the business was not authorized to accept service on behalf of Defendant, but Defendant does not dispute that the receptionist was a person "apparently in charge of his or her office [or] place of business." (Code Civ. Proc. § 415.20(b).) Plaintiff has sufficiently shown reasonable diligence in attempting personal service on Defendant Melahoures. Defendants do not contest that substitute service was sufficient on Southland. A review of the proof of service shows that service was indeed sufficient on Southland. (ROA 9.) Defendants seek relief under Code Civ. Proc. § 473.5. Section 473.5 is designed to provide relief where there has been proper service of summons (e.g., by substitute service or by publication) but defendant nevertheless did not find out about the action in time to defend. Typically, these are cases in which service was made by publication. (*Randall v. Randall* (1928) 203 Cal. 462, 464-65; *Trackman v. Kenney* (2010) 187 Cal.App.4th 175, 180.) Section 473.5 states:

		(a) When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. (Code Civ. Proc. § 473.5.) A motion under Section 473.5 must be accompanied by a declaration showing (a) defendant's lack of notice of the action in time to defend; and (b) that such lack "was not caused by his or her avoidance of service, or inexcusable neglect." (Code Civ. Proc. § 473.5(b); *Anastos v. Lee* (2004) 118 Cal.App.4th 1314, 1319; *Pulte Homes Corp. v. Williams Mechanical, Inc.* (2016) 2 Cal.App.5th 267, 274-75.) Defendant must also file with the notice of motion a copy of the answer, motion or other pleading proposed to be filed in the action. (Code Civ. Proc. § 473.5(b).) Section 473.5 provides that "The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered." (Code Civ. Proc. § 473.5(a).) Here, Plaintiff shows that Defendants knew of the lawsuit in time to defend the action. Plaintiff's counsel provides evidence that Defendant called Plaintiff's counsel's office on July 20, 2022, and spoke to Plaintiff's president well before Defendants' defaults were entered. (Moss Dec., ¶ 6 and Ex. 2; Bemis Dec., ¶ 5.) During that conversation, Defendant Melahoures requested and was granted an extension of time to file an answer until August 30, 2022. (Ibid.) Defendant Melahoures again called and spoke with Plaintiff on August 9, 2022. (Moss Dec., ¶ 6.) Additionally, Section 473.5 requires that a motion for relief under that section must be filed "within a reasonable time." The Court's records reflect that Defendants attempted to file an Answer on November 17, 2022, the day after the judgment was entered. (ROA 32.) Defendants' counsel also served this answer on Plaintiff's counsel on November 17, 2022, by mail and email. (Bemis Dec., Ex. 101.) Although the judgment was entered on November 16, 2022, and Defendants attempted to file an Answer on November 17, 2022, Defendants did not file any motion seeking relief until June 29, 2023 - more than seven months later. The motion was not filed and served within a reasonable time.

		Further, Defendants did not file a proposed answer with the motion and thus did not comply with Code Civ. Proc. § 473.5(b). (Code Civ. Proc. § 473.5(b) ("The party shall serve and file with the notice a copy of the answer, motion, or other pleading proposed to be filed in the action.").) Instead, they filed the proposed answer with their Reply papers, which does not comply with Section 473.5(b). Plaintiff's request for judicial notice of the Court's docket and certain documents filed in this matter is denied as it is unnecessary to take judicial notice of materials previously filed in this case. Plaintiff to give notice.
6	Rinner v. Hoyt	**CONTINUED TO 11/1/23**
7	BMO Harris Bank N.A. v. Caduceus Physicians Medical Group	**TENTATIVE RULING:** For the reasons set forth below, Plaintiff BMO Harris Bank N.A.'s Applications for Right to Attach Orders and Issuance of Writs of Attachment are DENIED. > No order or writ shall be issued under this article except after a hearing. At the times prescribed by subdivision (b) of Section 1005, the defendant shall be served with all of the following: > (a) A copy of the summons and complaint. > (b) A notice of application and hearing. > (c) A copy of the application and of any affidavit in support of the application. (Code Civ. Proc., § 484.040; see Code Civ. Proc., § 1005, subd. (b) ["all moving and supporting papers shall be served and filed at least 16 court days before the hearing"].) "Attachment procedures are purely a creation of statute and it has been held that such statutes are subject to strict construction." (*Commercial & Farmers Nat. Bk. v. Hetrick* (1976) 64 Cal.App.3d 158, 165.) Courts have an obligation to strictly construe the purely statutory remedy of pre-trial attachment. (*Hobbs v. Weiss* (1999) 73 Cal.App.4th 76, 77-78; see *Royals, supra*, 81 Cal.App.5th 328, 345 [to be entitled to obtain a writ of attachment, and to protect the

		defendant's due process rights, plaintiff must meet a set of detailed procedural and substantive requirements]; see Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2023) ¶ 9:912 [section 484.040 of the Code of Civil Procedure "requires service of the application *and any supporting papers* at least 16 court days before the hearing…."].) On July 6, 2023, Plaintiff filed eight documents in support of its two Applications for right to attach orders: two documents entitled (1) & (2) Right to Attach Order and Order for Issuance of Writ of Attachment After Hearing" [ROA # 53, 54], (3) & (4) Notice of Application for Right to Attach Order and Order for Issuance of Writ of Attachment [ROA # 51, 52], and (5) & (6) Application for Right to Attach Order, Order for Issuance of Writ of Attachment After Hearing [ROA # 49, 50]. It also filed (7) a Declaration of Joel Spencer in Support of Plaintiff's Applications for Right to Attach Order and Orders for Issuance of Writs of Attachment [ROA # 45], and (8) a Memorandum of Points and Authorities [ROA # 43]. However, only one submission, namely, the Memorandum of Points and Authorities in Support of Plaintiff BMO Harris Bank N.A.'s Applications for Right to Attach Orders and Issuance of Writs of Attachment, was accompanied by a proof of service. [ROA # 43] The proof of service attached to the Memorandum of Points and Authorities specifies that only that document was being served on Defendants. On September 20, 2023, Plaintiff filed a document entitled "Declaration of Service of Applications for Right to Attach Order and Orders for Issuance of Writs of Attachment." [ROA # 63] In that document, Plaintiff states it electronically served all eight documents on September 20, 2023. This is untimely under sections 484.040 and 1005, subdivision (b) of the Code of Civil Procedure, which required all moving and supporting papers be filed and served at least 16 court days before the hearing. Since the Court must strictly construe Plaintiff's Applications, the Court denies them for failure to timely serve all papers in support of its two Applications. Plaintiff is ordered to give notice.

8	Vanasse v. Silverado Senior Living management, Inc.	**TENTATIVE RULING:** For the reasons set forth below, Plaintiffs Alma Boettcher Vanasse, by and through her Successor-in-Interest Laura Crosson, Laura Crosson, and Thomas Vanasse's Motion to Augment Plaintiffs' Expert Designation is DENIED. **A. Statement of Law** "After the setting of the initial trial date for the action, any party may obtain discovery by demanding that all parties simultaneously exchange information concerning each other's expert trial witnesses to the following extent: (a) Any party may demand a mutual and simultaneous exchange by all parties of a list containing the name and address of any natural person, including one who is a party, whose oral or deposition testimony in the form of an expert opinion any party expects to offer in evidence at the trial." (Code Civ. Proc., § 2034.210, subd. (a)[1]; see §§ 2034.230, 2034.240, 2034.260 [procedural requirements].) "Within 20 days after the exchange … any party who engaged in the exchange may submit a supplemental expert witness list containing the name and address of any experts who will express an opinion on a subject to be covered by an expert designated by an adverse party to the exchange, if the party supplementing an expert witness list has not previously retained an expert to testify on that subject." (§ 2034.280, subd. (a).) "Except as provided in Section 2034.310 and in Articles 4 (commencing with Section 2034.610) and 5 (commencing with Section 2034.710), on objection of any party who has made a complete and timely compliance with Section 2034.260, the trial court shall exclude from evidence the expert opinion of any witness that is offered by any party who has unreasonably failed to do any of the following: (a) List that witness as an expert under Section 2034.260. (b) Submit an expert witness declaration…." (§ 2034.300, subds. (a) & (b).) "On motion of any party who has engaged in a timely exchange of expert witness information, the court may grant leave to do either or both of the following: (1) Augment that party's expert witness list and declaration by adding the name and address of any expert witness whom that party has subsequently retained." (§ 2034.610, subd. (a)(1); see Weil & Brown, Cal. Practice Guide: Civil

[1] All further statutory references are to the Code of Civil Procedure, unless otherwise specified.

		Procedure Before Trial (The Rutter Group 2023) ¶¶ 8:1731, 8:1745 [court has "considerable discretion" to provide relief from the exclusion of expert testimony]; see *Bonds v. Roy* (1999) 20 Cal.4th 130, 149 [party must move to amend declaration, and it is within trial court's discretion to grant or deny the motion].) "A motion under subdivision (a) shall be made at a sufficient time in advance of the time limit for the completion of discovery … to permit the deposition of any expert to whom the motion relates to be taken within that time limit. Under exceptional circumstances, the court may permit the motion to be made at a later time." (§ 2034.610, subd. (b); see *Perry v. Bakewell Hawthorne, LLC* (2017) 2 Cal.5th 536, 541 [party should invoke section 2034.610 "as soon as the party discovers the need to submit a declaration by a previously undisclosed expert"].) "The motion shall be accompanied by a meet and confer declaration under Section 2016.040." (§ 2034.610, subd. (c)[2].) > The court shall grant leave to augment or amend an expert witness list or declaration ***only*** if all of the following conditions are satisfied: > (a) The court has taken into account the extent to which the opposing party has relied on the list of expert witnesses. > (b) The court has determined that any party opposing the motion will not be prejudiced in maintaining that party's action or defense on the merits. > (c) The court has determined either of the following: > (1) The moving party would not in the exercise of reasonable diligence have determined to call that expert witness or have decided to offer the different or additional testimony of that expert witness. > (2) The moving party failed to determine to call that expert witness, or to offer the different or additional testimony of that expert witness as a result of mistake, inadvertence, surprise, or excusable neglect, and the moving party has done both of the following:

[2] Tham Declaration, ¶¶ 10-13; Exhibits 4-5 to Tham Declaration.

> (A) Sought leave to augment or amend promptly after deciding to call the expert witness or to offer the different or additional testimony.
>
> (B) Promptly thereafter served a copy of the proposed expert witness information concerning the expert or the testimony described in Section 2034.260 on all other parties who have appeared in the action.
>
> (d) Leave to augment or amend is conditioned on the moving party making the expert available immediately for a deposition under Article 3 (commencing with Section 2034.410), and on any other terms as may be just, including, but not limited to, leave to any party opposing the motion to designate additional expert witnesses or to elicit additional opinions from those previously designated, a continuance of the trial for a reasonable period of time, and the awarding of costs and litigation expenses to any party opposing the motion.

(§ 2034.620; see § 2034.720 [granting leave to submit tardy expert witness information]; see *Perry*, *supra*, 2 Cal.5th at p. 541 ["court may permit amendment of an expert witness disclosure, if section 2034.620's conditions stated are met"]; see Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2023) ¶ 8:1731 ["because the expert witness statute provides its own procedures for relief from exclusion [citation], relief cannot be obtained under CCP § 473(b) on the ground of 'mistake, inadvertence, surprise, or excusable neglect,'…."].)

"The court shall impose a monetary sanction … against any party, person, or attorney who unsuccessfully makes or opposes a motion to augment or amend expert witness information, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust." (§ 2034.630.)

B. The Court Denies the Motion

As noted, section 2034.620 sets forth the three conditions Plaintiffs must satisfy in order to be entitled to augment or amend their expert designation.

		The first condition is that "[t]he court has taken into account the extent to which the opposing party has relied on the list of expert witnesses." (§ 2034.620, subd. (a).) Defendants have presented no argument, or evidence, regarding this condition. Thus, they have waived any opposition as to this condition. The second condition Plaintiff must satisfy is establishing, "[t]he court has determined that any party opposing the motion will not be prejudiced in maintaining that party's action or defense on the merits." (§ 2034.620, subd. (b).) Again, Defendants' Opposition does not address this point. Thus, they have waived any claim that they would be prejudiced should Plaintiffs be allowed to augment their expert designation. Defendants have "not shown how [their] maintenance of the action was prejudiced by permitting [Ms. McNulty] to testify; [they do] not claim [their] counsel had inadequate time or resources to properly cross-examine [Ms. McNulty] or prepare a rebuttal to [her] testimony." (*Dickison v. Howen* (1990) 220 Cal.App.3d 1471, 1480; see *Guzman v. Superior Court* (1993) 19 Cal.App.4th 705, 708 [abuse of discretion to deny a party's request to designate expert witnesses before trial, where the opposing party has ample time to depose those witnesses]; see *Kennemur v. State of California* (1982) 133 Cal.App.3d 907, 920 [if plaintiff's counsel had disclosed its expert's new opinion, and offered the expert for deposition, at the start of trial, the motion would have been granted since it involved only one witness and a limited subject matter].) Trial has been continued to January 22, 2024, meaning the parties have more than sufficient time for Defendants to designate their own expert, and the parties would have sufficient time to conduct discovery regarding the opinions of these new experts. The third condition that must be met before the Court allows Plaintiffs to augment their expert designation list is as follows: > The court has determined either of the following: > (1) The moving party would not in the exercise of reasonable diligence have determined to call that expert witness or have decided to offer the different or additional testimony of that expert witness.

> (2) The moving party failed to determine to call that expert witness, or to offer the different or additional testimony of that expert witness as a result of mistake, inadvertence, surprise, or excusable neglect, and the moving party has done both of the following:
>
> (A) Sought leave to augment or amend promptly after deciding to call the expert witness or to offer the different or additional testimony.
>
> (B) Promptly thereafter served a copy of the proposed expert witness information concerning the expert or the testimony described in Section 2034.260 on all other parties who have appeared in the action.

(§ 2034.620, subd. (c).)

The court agrees with Defendants that Plaintiffs cannot meet their burden under subdivision (c)(1) of section 2034.620, and Plaintiff does not argue mistake, inadvertence, surprise, or excusable neglect under subdivision (c)(2) of section 2034.620. Regardless of whether the February 2023 criminal charges affected Plaintiffs' need to understand Defendants' financial condition, Plaintiffs' Complaint explicitly sought punitive damages. Thus, Plaintiffs should have already designated a financial expert to provide an opinion to support Plaintiffs' prayer for punitive damages. (See *Adams v. Murakami* (1991) 54 Cal.3d 105, 110-111 [in determining whether the amount of punitive damages was proper, there must be evidence of the defendant's financial condition]; see *Farmers & Merchants Trust Co. v. Vanetik* (2019) 33 Cal.App.5th 638, 647 [" 'Evidence of a defendant's financial condition is a legal precondition to the award of punitive damages' "].) Furthermore, Plaintiff, already aware of the criminal proceedings, answered ready for trial and participated in jury selection between 4/27/23 and 5/1/23, all without designating an expert regarding Defendants' financial condition. Plaintiff points to nothing new that has happened since that time that would legally support the late designation of such an expert now.

For the foregoing reasons, the motion is denied.

Defendant to give notice.

9	Sterkel v. State of California	**TENTATIVE RULING:** **<u>Motion for Summary Judgment</u>**. Defendant State of California, by and through the Department of Parks and Recreation, moves for summary judgment on the complaint of Plaintiffs John Sterkel and Cindy Sterkel. For the following reasons, the motion is DENIED. A "party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact . . . ." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) "A prima facie showing is one that is sufficient to support the position of the party in question." (*Id.* at 851.) The parties must set forth admissible evidence. (Code Civ. Proc., § 437c(d) A defendant moving for summary judgment satisfies its initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc., § 437c(p)(2).) The scope of this burden is determined by the allegations of the plaintiff's complaint. (*FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 381–82 [pleadings serve as the outer measure of materiality in a summary judgment motion].) Once the moving party meets that burden, the burden shifts to the party opposing summary judgment to show, by reference to specific facts, the existence of a triable issue as to an affirmative defense or cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 855; *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App 4th 562, 575.) "There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Aguilar, supra,* at p. 850, fn. omitted.) To meet this burden, the opposing party must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) In ruling on a motion for summary judgment or summary adjudication, the court must "consider all of the evidence" and all of the "inferences" reasonably drawn therefrom [citing Code Civ. Proc., § 437c(c)] and must view the evidence and inferences "in the light most favorable to the opposing party." (*Aguilar, supra,* 25 Cal.4th at p. 843.) A court may not make credibility

determinations or weigh the evidence on a motion for summary judgment or adjudication, and all evidentiary conflicts are to be resolved against the moving party. (*McCabe v. American Honda Motor Corp.* (2002) 100 Cal.App.4th 1111, 1119.) The moving party's papers are to be strictly construed, while the opposing party's papers are to be liberally construed. (*Committee to Save Beverly Highland Homes Ass'n v. Beverly Highland* (2001) 92 Cal.App.4th 1247, 1260.)

Trail Immunity

The Complaint pleads a single cause of action for dangerous condition on public property. The complaint alleges Plaintiff John Sterkel was injured while riding his bicycle at Doheny State Beach, and those injuries have resulted in loss of consortium to Plaintiff Cindy Sterkel. (Compl. at ¶ 3, prayer for relief ¶ 2.)

Defendant State argues it has a complete defense to Plaintiffs' claim for dangerous condition on public property and contingent claim for loss of consortium, as the immunity set forth in Government Code 831.4 bars the claims as a matter of law.

Government Code Section 835 provides: "[A] public entity is liable for injury caused by a dangerous condition of its property if the plaintiff establishes that the property was in a dangerous condition at the time of the injury, that the injury was proximately caused by the dangerous condition, that the dangerous condition created a reasonably foreseeable risk of the kind of injury which was incurred, and either: (a) A negligent or wrongful act or omission of an employee of the public entity within the scope of his employment created the dangerous condition; or (b) The public entity had actual or constructive notice of the dangerous condition . . . [and] a sufficient time prior to the injury to have taken measure to protect against the dangerous condition." (Gov. Code, § 835.)

Trail immunity provides """absolute[] immun[ity] from liability for injuries caused by a physical defect of a [recreational] trail" . . . [or] . . . "caused by the condition of any trail described in section 831.4." [Citation.]'" (*Nealy v. County of Orange* (2020) 54 Cal.App.5th 594, 602 [citing *Montenegro v. City of Bradbury* (2013) 215 Cal.App.4th 924, 929 and *State of California v. Super. Ct.* (1995) 32 Cal.App.4th 325, 328].) Government Code section 831.4 provides in relevant part that: "A public entity, public employee, or a grantor of a public easement to a public entity for any of the following purposes, is not liable for an injury caused by a condition of . . . [a]ny [trail] which provides access to . . . all types of vehicular riding, water sports, recreational or scenic areas and which is not a (1) city street or highway or (2) county, state or federal highway or (3) public street or highway of a joint highway district, boulevard district, bridge and highway district or similar district formed for the improvement or building of public streets or highways." (Gov. Code § 831.4(a), (b).)

"Whether a property is considered a 'trail' under section 831.4 turns on 'a number of considerations,' including (1) the accepted definitions of the property, (2) the purpose for which the property is designed and used, and (3) the purpose of the immunity statute." (*Lee v. Dept. of Parks & Recreation* (2019) 38 Cal.App.5th 206, 211 [citing *Amrberger-Warren v. City of Piedmont* (2006) 143 Cal.App.4th 1074, 1078-1079].)

Here, there are disputed facts as to whether the three factors justify applying trail immunity to the location of Plaintiff Jon Sterkel's injuries.

<u>Accepted Definitions</u>

It is undisputed that on the day of the accident, Plaintiff was traveling a bike route that runs through the middle of a parking lot and/or road at Doheny State Beach Park. (Def.'s Sep. St. Nos. 1, 5-6, 11, 12; *see* Pltfs.' Sep. St. [disputing other grounds].) Here, there are disputed facts as to whether the location can be defined as a "public street," which precludes the application of trail immunity. (*See* Def.'s Sep. St. No. 6; Pltfs.' Sep. St. Add. No. 6 [and evidence cited therein].)

<u>Purpose of Design and Use</u>

Defendant submits evidence that the bikeway is classified by the county as a Class III bikeway. (Def.'s Sep. St. No. 1 [and evidence cited therein].) While there is case law applying trail immunity to Class I bikeways (*Prokop v. City of Los Angeles* (2007) 150 Cal.App.4th 1332, 1336, 1342-1343), there is no case law extending trail immunity to Class III bikeways. Class I bikeways are defined as "[b]ike paths or shared use paths . . . which provide a completely separated right-of-way designated for the exclusive use of bicycles and pedestrians with crossflows by motorists minimized." (Streets & Hwys. Code, § 890.4, subd. (a).) Class III bikeways, on the other hand, are "bike routes . . . which provide a right-of-way on-street or off-street, designated by signs or permanent markings and shared with pedestrians and motorists. (Streets & Hwys. Code, § 890.4, subd. (c).) In this case, the bike

		route passes over and parallel to the parking lot and/or roadway. (*See* Def.'s Sep. St. Nos. 1, 6, 18, 20 [and evidence cited therein].) Trail immunity may apply to mixed use trails. (*See, e.g., Armenio v. County of San Mateo* (1994) 28 Cal.App.4th 413, 415 [trail immunity covered a "scenic linear park" that consisted of "a 6.2 mile surfaced trail with rest areas for bicyclists, hikers, joggers, and equestrians"]; *Nealy v. Orange County* [hiking and bicycling trail].) In *Burgueno v. The Regents of the University of California*, the plaintiff was fatally injured while commuting by bicycle on a paved bike path used for both recreational and non-recreational bicycling. (*Burgueno, supra*, 243 Cal.App.4th at pp. 1055, 1061.) Pedestrians and public vehicular traffic, however, were generally not permitted on the bikeway. (*Id.* at p. 1055.) The *Burgueno* court noted the purpose of the immunity is to encourage public entities to open their property for public recreational use and affirmed the trial court's granting of summary judgment, concluding the dual recreational and non-recreational use does not preclude trail immunity under section 831.4. (*See id.*, at pp. 1059-1060.) Trail immunity may also extend to a bikeway that includes limited vehicle traffic. (*See, e.g., Hartt v. County of Los Angeles* (2011) 197 Cal.App.4th 1391, 1402 [access trail used by bicyclists and maintenance vehicles to access various parts of the park]; *Burgueno v. The Regents of the Univ. of Cal.* (2015) 243 Cal.App.4th 1052, 1055 [trail was occasionally accessed by university service vehicles and emergency vehicles].) In *Hartt v. County of Los Angeles*, a bicyclist was killed while using an access road in a county park, which was used both for recreational purposes and for maintenance vehicle access to various and sundry locations within the park. (*Hartt, supra*, 197 Cal.App.4th at p. 1400.) The court held that the dual or mixed use of the trail did not circumvent trail immunity. (*Ibid.*) Here, it is undisputed that the bikeway has multiple current uses, including parking lot, vehicle traffic, recreational pedestrian traffic, and recreational bicycle traffic—although all uses are recreational. (*See* Def.'s Sep. St. Nos. 4-6 [and evidence cited therein]; Pltfs.' Sep. St. Nos. 4-6 [disputing other grounds].) It is further undisputed that Plaintiff was using the bikeway recreationally at the time of the accident. (Pltfs.' Sep. St. No. 22 [and evidence cited therein].) On the other hand, unlike any cases cited by Defendant, it is undisputed that one of the uses of the location is public automobile traffic and parking. (*See* Def.'s Sep. St. No. 5 [and evidence cited therein]; *see* Pltf.'s Sep. St. No. 5 [disputing on other grounds].) Plaintiff submits evidence that the parking lot is

		divided by double yellow lines for two-lane vehicular travel and is open to the public for use by RV's, trailers, campers, busses, trolleys, and commercial trucks. (*See* Pltf.'s Sep St. No. 5 [and evidence cited therein]; Pltfs.' Add. Sep. St. No. 4 [and evidence cited therein].) In other words, the incident here took place in a location that is simultaneously a recreational bikeway, parking lot, and roadway. None of the authorities cited by Defendant extends trail immunity to bikeways that include paved parking lots and/or roads, and the court has found no such authority. Furthermore, Defendant does not submit evidence sufficient to show the location was designed to be a bikeway, given the multiple other uses. Defendant's sole submitted photographic evidence of the area depicts a two-lane roadway or parking lot divided by double yellow lines and no apparent designated area for bicyclists. (Adams Decl., Ex. 7.) The photograph reflects no signage or permanent markings to designate a bike route. (*See id.*) **<u>Purpose of Immunity Statute</u>** The location includes "two-lane vehicular travel" and is referred to in at least one publication as "Beach Road." (Def.'s Sep. St. No. 12; *see* Pltf.'s Sep. St. No. 5 [citing in part Kibbey Depo. at 26:25-27:2].) Given the conflicting evidence as to whether the location is considered a public road or street, and the undisputed fact that motor vehicles regularly share the road here, the court cannot conclude as a matter of law that the purpose of the immunity statute would be promoted by its application here. Plaintiffs' evidentiary objection No. 2 is overruled. The remainder of the objections were not material to the disposition of this motion. (Code Civ. Proc., § 437c(q).) Plaintiffs to give notice.
10	Smurro v. JPMorgan Chase Bank, N.A.	**TENTATIVE RULING:** **<u>Petition to Compel Arbitration</u>** Defendant Fidelity Brokerage Services, LLC, erroneously sued as Fidelity Investments ("Fidelity"), petitions to compel arbitration of all the claims asserted by Plaintiff Thomas E. Smurro in his operative Complaint against Fidelity. For the following reasons, Fidelity's petition is GRANTED.

		<u>Application of the CAA and FAA</u> The Arbitration Agreement states: "This agreement and its enforcement are governed by the laws of the Commonwealth of Massachusetts, except with respect to its conflicts-of-law provisions." (Bacon Decl. ¶ 8, Ex. B.) In *Nedlloyd Lines B.V. v. Superior Court* (1992) 3 Cal.4th 459, the California Supreme Court articulated the multistep choice of law analysis: "[T]he proper approach under Restatement section 187(2) is for the court first to determine either: (1) whether the chosen state has a substantial relationship to the parties or their transaction, or (2) whether there is any other reasonable basis for the parties' choice of law. If neither of these tests is met, that is the end of the inquiry, and the court need not enforce the parties' choice of law. [Fn. omitted.] If, however, either test is met, the court must next determine whether the chosen state's law is contrary to a *fundamental* policy of California. [Fn. omitted.] If there is no such conflict, the court shall enforce the parties' choice of law. If, however, there is a fundamental conflict with California law, the court must then determine whether California has a 'materially greater interest than the chosen state in the determination of the particular issue. ...' (Rest., § 187, subd. (2).) If California has a materially greater interest than the chosen state, the choice of law shall not be enforced, for the obvious reason that in such circumstance we will decline to enforce a law contrary to this state's fundamental policy. *Id*. at 466. The proponent of the choice of law provision bears the burden of meeting either the "substantial relationship," or "reasonable basis" prong. *Id*. Although Fidelity appears to contend that Massachusetts law controls, Fidelity has not provided any evidence to establish either that Massachusetts has a substantial relationship to the parties or to the transaction or that there is a reasonable basis for Fidelity's and Nicholas Smurro's choice of law. Fidelity did not meet its burden under California's choice of law analysis to establish that the court should apply Massachusetts law. Procedurally, the California Arbitration Act ("CAA") applies. "[T]he [Federal Arbitration Act's ("FAA")] procedural provisions do not apply in state court unless the parties expressly adopt them." (*Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 177.) Nothing in the Arbitration Agreement shows the parties have done so here. Therefore, the CAA procedural rules apply. "[T]he FAA's procedural provisions (9 U.S.C. §§ 3, 4, 10, 11) do not apply unless the contract contains a choice-of-law clause expressly

incorporating them.” (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 345 [citations omitted].) “[T]he question is not whether the parties adopted the CAA’s procedural provisions: The state’s procedural statutes (§§ 1281.2, 1290.2) apply by default because Congress intended the comparable FAA sections (9 U.S.C. §§ 3, 4, 10, 11) to apply in federal court. The question, therefore, is whether the parties expressly incorporated the FAA’s procedural provisions into their agreements.” (*Id.*; see also *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 387 [“Our opinion does not preclude parties to an arbitration agreement to expressly designate that any arbitration proceeding should move forward under the FAA's procedural provisions rather than under state procedural law” (italics omitted)].) Here, neither party argues that the Arbitration Agreement incorporates the FAA’s procedural provisions. Accordingly, the court finds that the CAA’s procedural provisions apply.

Substantively, the FAA applies (9 U.S.C. § 1 [FAA governs arbitration provisions in contracts that involve interstate commerce]; *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 402–403, 405 [security brokerage agreements are governed by the FAA]; see also *Mastick v. TD Ameritrade, Inc.* (2012) 209 Cal.App.4th 1258, 1263.) Although “the [FAA] [citation] applies, state law governs such matters as who is bound by and who may enforce an arbitration agreement. [Citations.]” (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7.)

Arbitration, whether under the CAA or FAA, “is a matter of consent, not coercion … a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 [internal quotations and citations omitted].) The existence of a valid agreement to arbitrate is a “question of arbitrability” to be decided by the court unless the parties expressly agree otherwise. (*Garden Fresh Restaurant Corp. v. Superior Court* (2014) 231 Cal.App.4th 678, 684 citing *Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 83 [questions of arbitrability include whether parties are bound by an arbitration clause or whether binding clause applies to particular case or controversy].)

The party seeking to arbitrate must prove the existence of the agreement. (*Pinnacle,* 55 Cal.4th at 236.) If an agreement exists, then public policy substantially favors arbitration (see Code Civ. Proc. § 1281.2 [court shall order arbitration if it determines valid agreement to arbitrate exists]) and the burden shifts to the party opposing arbitration to “demonstrate that an arbitration provision *cannot* be interpreted to require arbitration of the dispute.” (*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 686-87.) But “'[t]here is no public policy in favor of forcing arbitration of issues the parties have not agreed to arbitrate.'" (*Romo v. Y-3 Holdings, Inc.* (2001) 87 Cal.App.4th 1153, 1158, quoting *Marcus & Millichap Real Estate Investment Brokerage Co. v. Hock Investment Co.* (1998) 68 Cal.App.4th 83, 89.) Courts apply general state contract law to determine consent. (*Marcus & Millichap*, 68 Cal.App.4th at 89.)

In resolving a petition to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

<u>Existence of a Valid Agreement to Arbitrate the Claims</u>

The party seeking to compel arbitration bears an initial burden to make a prima facie showing the claims asserted in the complaint are covered by a valid agreement to arbitrate. (*Molecular Analytical Systems v. Ciphergen Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 710-711.) “ ‘In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration.’ ” (*Laymon v. J. Rockliff, Inc*. (2017) 12 Cal.App.5th 812, 819, 219 Cal.Rptr.3d 185.) When that prima facie showing has been made, the court must compel arbitration unless the party opposing arbitration demonstrates the dispute falls outside the scope of the agreement. (*Laymon*, 12 Cal.App.5th at 820; *see Molecular Analytical*, 186 Cal.App.4th at 710-711 [where “defendants made a sufficient prima facie showing of an agreement to arbitrate, based not only on the allegations of the complaint but also on their moving papers and on their proffer of the [arbitration] [a]agreement,” the burden was on the party resisting arbitration to demonstrate its claims were not arbitrable].)

By this motion, Fidelity seeks to compel arbitration to the pre-dispute arbitration clause (“Arbitration Agreement”) agreed to by Plaintiff’s father, Nicholas Smurro (“Nicholas”), when Nicholas opened a Fidelity brokerage account. (Bacon Decl. ¶¶ 5-9, Exs. A-B.)

		The Arbitration Provision provides: This agreement contains a pre-dispute arbitration clause. Under this clause, which you agree to when you sign your account application, you and Fidelity agree as follows: [¶] … [¶] **All controversies that may arise between you and us concerning any subject matter, issue or circumstance whatsoever (including, but not limited to, controversies concerning any account, order distribution, rollover, advice interaction, or transaction, or the continuation, performance, interpretation or breach of this or any other agreement between you and us, whether entered into or arising before, on or after the date this account is opened) shall be determined by arbitration through the Financial Industry Regulatory Authority (FINRA) or any United States securities self regulatory organization or United States securities exchange of which the person, entity or entities against whom the claim is made is a member, as you may designate.** (Bacon Decl. ¶ 8, Ex. B [emphasis in original].) The Complaint alleges causes of action for breach of fiduciary duty (second cause of action), negligence (third cause of action), and declaratory relief (seventh cause of action) against Fidelity. (See, generally, Compl. [ROA No. 43].) Specifically, the Complaint alleges Fidelity failed to give account and beneficiary information for Nicholas Smurro's Fidelity account to Plaintiff, in his capacity as beneficiary, executor of the will and the successor trustee of Nicholas Smurro's trust. (Compl. ¶¶ 33-35, 38.) The Complaint also alleges Fidelity refused to distribute the account's assets as requested by Plaintiff and refused to return the $28,618.63 that Plaintiff alleges was illegally transferred to the Fidelity account. (*Id*. at ¶¶ 36-37, 39.) Plaintiff further alleges that Fidelity's mechanism to designate beneficiaries is below the standard of care and that Fidelity failed to send Defendant a confirmation for the beneficiary changes that were made on or about October 25, 2022. (Compl. ¶¶ 47-48.) The court finds that these claims are covered by the Arbitration Agreement. Defendant submitted evidence demonstrating Nicholas opened a brokerage account ending in 0434 with Fidelity in November 2018. (Bacon Decl. ¶¶ 4, 6.) Defendant also provided evidence that Nicholas acknowledged that he received the Arbitration

		Agreement by selecting Open Account. (Bacon Decl. ¶¶ 6-7.) Fidelity's Customer Agreement, which contains the Arbitration Agreement, was delivered to and acknowledged by Nicholas. (Bacon Decl. ¶ 8.) Fidelity has met its initial burden to establish the existence of an arbitration agreement that covers the claims asserted against Fidelity. (*See Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1058 [concluding that the defendants met their initial burden by attaching to their petition a copy of the purported arbitration agreement bearing the plaintiff's electronic signature; once the plaintiff challenged the validity of that signature in his opposition, defendants were then required to establish by a preponderance of the evidence that the signature was authentic].) **<u>Waiver</u>** Code of Civil Procedure section 1281.2(a) provides in pertinent part: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] (a) The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for the revocation of the agreement …." Under both the Federal Arbitration Act and state law, waivers of the right to arbitrate are not lightly inferred. (*St. Agnes Medical Center v. PacifiCare of California* (2003) 31 Cal.4th 1187, 1196, citing *Christensen v. Dewor Developments* (1983) 33 Cal.3d 778, 782.) Thus, any doubts concerning waiver should be resolved in favor of arbitration. (*St. Agnes,* 31 Cal.4th at p. 1195.) In *St. Agnes,* the Supreme Court adopted a multifactor test for determining whether a party has waived the right to arbitrate: " 'In determining waiver, a court can consider "(1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether 'the litigation machinery has been substantially invoked' and the parties 'were well into preparation of a lawsuit' before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) 'whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place'; and (6) whether the delay 'affected, misled, or prejudiced' the opposing party." ' " (*St.*

Agnes, 31 Cal.4th at 1196, 8 Cal.Rptr.3d 517, 82 P.3d 727, quoting *Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 992, 72 Cal.Rptr.2d 43; accord *Wagner Construction Co. v. Pacific Mechanical Corp.* (2007) 41 Cal.4th 19, 30–31; *Fisher v. A.G. Becker Paribas Inc.* (9th Cir. 1986) 791 F.2d 691, 694 ["A party seeking to prove waiver of a right to arbitration must demonstrate: (1) knowledge of an existing right to compel arbitration; (2) acts inconsistent with that existing right; and (3) prejudice to the party opposing arbitration resulting from such inconsistent acts."].)

Plaintiff contends Fidelity waived its right to arbitrate because Fidelity insisted that Plaintiff provide "a Court Order specifically directing Fidelity to restrict the account or other pleading indicating that a lawsuit has been filed contesting the beneficiary designations." (T. Smurro Decl. ¶¶ 2-265, Exs. 6-7.) Fidelity's request that Plaintiff produce a court order or pleading does not lead to the conclusion that Fidelity's actions are inconsistent with the right to arbitrate. Fidelity's requirement of a lawsuit contesting the account's beneficiary designations is not equivalent to Fidelity advocating that Plaintiff initiate litigation against Fidelity. Moreover, aside from labeling Fidelity's actions as "behavior [that] is stereotypical of what constitutes bad faith and breach of fiduciary duty" and warning any release of restriction would "subject Fidelity to all legal remedies available at law", there is no evidence that Plaintiff indicated that he would pursue claims against Fidelity. (See *id*. at ¶ 24, Ex. 5.)

In addition to failing to demonstrate that Fidelity's actions were inconsistent with the right to arbitrate, Plaintiff has not shown that the litigation machinery has been substantially invoked, that important intervening steps have taken place, or that there has been any prejudice to Plaintiff. Thus, the court finds Fidelity has not waived its right to arbitrate.

Enforceability of the "Sign-in-Wrap" Agreement

It is Fidelity's policy and regular business practice for clients to acknowledge reading and agreeing to the terms and conditions and account agreement for their new brokerage accounts at Fidelity by clicking a button on Fidelity's website that says "Open Account." (Bacon Decl. ¶ 4.) The account application completed by Nicholas Smurro stated: "By selecting Open Account Below, you acknowledge that you: Are the person named in this account application; Have been provided with the above documents electronically and do not need a paper copy; Have read and understood, and agree to be bound by the above documents, which set forth the terms and conditions of this account, as they are currently in effect and as they may be amended in the future, including but not limited to the Fidelity Account Customer Agreement and related documents, Terms and Conditions, consent to Householding of Shareholder Documents, Electronic Delivery Agreement and other applicable notices, disclosures and documents (collectively, the "Agreement"); Will electronically sign this application by selecting Open Account." (*Id*. at ¶ 6.) When opening the brokerage account with Fidelity, Nicholas Smurro acknowledged and agreed that the account was subject to an arbitration provision. (*Id*. at ¶ 7.)

" '*Sign-in-wrap*' agreements are those in which a user signs up to use an internet product or service, and the sign-up screen states that acceptance of a separate agreement is required before the user can access the service. While a link to the separate agreement is provided, users are not required to indicate that they have read the agreement's terms before signing up. Instead, "the website is designed so that a user is notified of the existence and applicability of the site's 'terms of use' [usually by a textual notice] when proceeding through the website's sign-in or login process." (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 463–464.) The account agreement at issue is a sign-in wrap agreement.

In *Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, the Court of Appeal observed that federal courts generally uphold sign-in wrap agreements, "perhaps in part because the transactions at issue in [those] cases ... mostly involve a consumer signing up for an ongoing account and, thus, it is reasonable to expect that the typical consumer in that type of transaction contemplates entering into a continuing, forward-looking relationship." (*Id*. at 471.) Similar to the majority of the federal cases finding an enforceable sign-in wrap agreement involve continuing, a brokerage account involves a continuous, forward-looking relationship. (*Id*. at 476.) Because Nicholas Smurro signed up for an ongoing account, it is reasonable that the typical consumer in such transactions contemplates entering into a relationship governed by terms and conditions.

Additionally, the hyperlink to the Arbitration Agreement is differentiated by color and its location is near the button Nicholas Smurro clicked to agree to open the account. (Bacon Decl. ¶ 6, Ex. A.) There are no other elements on the screen that obscures the notice of the existence of the Arbitration Agreement. (*Id*.)

Given the content of the transaction, the sign-in wrap agreement was sufficiently conspicuous to bind Nicholas Smurro and his "heirs, executors, administrators, successors or assigns", including Plaintiff. (Bacon Decl. ¶ 8, Ex. B.)

Unconscionability

A court may refuse to enforce an arbitration agreement that is unconscionable. (Civ. Code, § 1670.5.) Whether a provision is unconscionable is a question of law. (Civ. Code, § 1670.5(a); *Flores v. Transamerica* (2001) 93 Cal.App.4th 846, 851.)

"If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result." (Civ. Code, § 1670.5(a); *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 122.) The absence of a severability clause is irrelevant to the determination of whether the offensive provisions are "severable" for purposes of unconscionability analysis. Severability is decided as a matter of state law. (*Terminix Int'l Co., LP v. Palmer Ranch Ltd. Partnership* (11th Cir. 2005) 532 F.3d 1327, 1331.)

Unconscionability has a procedural and a substantive element: the procedural element focuses on the existence of oppression or surprise and the substantive element focuses on overly harsh or one-sided results. (*Armendariz,* 24 Cal.4th at 114.)

To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: ". . . the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz,* 24 Cal.4th at 114; *Mercuro v. Super. Ct.* (2002) 96 Cal.App.4th 167, 174-175.)

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.)

Absent no other indication of oppression or surprise, the degree of

		procedural unconscionability of an adhesion agreement—including nonnegotiated employment contracts—is low. (*Ajamian v. CantorCO2e, LP* (2012) 203 Cal.App.4th 771, 796; *in accord*, *Wisdom v. AccentCare, Inc.* (2012) 202 Cal.App.4th 591, 597; *Dotson v. Amgen, Inc.* (2010) 181 Cal.App.4th 975, 980-981; *Roman v. Super. Ct.* (2009) 172 Cal.App.4th 1462, 1471; *Mercuro v. Super. Ct.* (2002) 96 Cal.App.4th 167, 175.) "By their nature, internet contracts almost always fall into the category of adhesion contracts. ' "The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it." ' [Citations.] In an internet transaction, the contractual terms are drafted solely by the provider and placed most often on a separate webpage that is accessible only if the user sees and clicks on a hyperlink. The consumer usually does not have any direct contact with the provider and, thus, even if the consumer is aware of the terms the provider wishes to impose, the consumer does not have *any* ability to bargain. Thus, the terms are offered on a purely take-it or leave-it basis. [Citation.]" (*Sellers*, 73 Cal.App.5th at 464.) Due to the adhesive nature of the internet Arbitration Agreement, Plaintiff has shown some procedural unconscionability. In assessing substantive unconscionability, the "paramount consideration" is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) Here, the arbitration clause includes mutuality. It states "[u]nder this clause, which you agree to when you sign your account application, you and Fidelity agree as follows: All parties to this agreement are giving up the right to sue each other in court, including the right to a trial by jury, except as provided by the rules of the arbitration forum in which a claim is filed ...." (Bacon Decl. ¶ 8, Ex. B.) Plaintiff has not demonstrated any substantive unconscionability. Because both procedural and substantive unconscionability must be present, the Arbitration Agreement is not unconscionable. Fidelity's petition to compel arbitration is granted. **James Smurro** Fidelity confirms that it does not seek to compel any claims asserted by Plaintiff against James Smurro to binding arbitration.

		(Reply at 3:25-4:1.) **Stay of Proceedings** Fidelity's motion to stay the action as to Fidelity pending completion of the arbitration proceedings is granted. (See 9 U.S.C. § 3 [if a court determines that a suit or proceeding may be referred to arbitration under the FAA, it "shall" issue a stay pending the completion of arbitration upon a motion from either party].) Unlike Code of Civil Procedure section 1281.2(c), the FAA does not grant courts the discretion to stay proceedings where some parties to the action are not parties to the arbitration agreement or when proceedings in different forums could result in conflicting rulings on common issues of law or fact. (*Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 157, citing 9 U.S.C. §§ 3, 4.) Defendant Fidelity Brokerage Services, LLC to give notice.
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